Chapter Fifty-Four

Building India’s Digital Economy

Spurred by the three key technological innovations of the chip, the code and the Internet, the digital revolution is in the process of transforming every business in the world. These three building blocks of the digital revolution are getting stronger, becoming more powerful and efficient, and increasingly reaching the unreached every day. Chips are packing more transistors. Blockchain-crypto coding is competing harder with centralized database technology on which most of the digital economy has been built so far. The Internet is becoming faster, bigger and reaching everywhere with digital devices becoming commonplace.

Most services, whether it is trade and commerce, accounting, banking, outsourced processing, entertainment or banking, have already seen a massive digitalization shift. The coronavirus has given a further disruptive push to digitalization in the delivery and consumption of services.

The digital revolution is also transforming the production and consumption of most agricultural and industrial goods. There is an increasing use of chips and code in the manufacture of physical goods. With IoT also a reality now, the connectedness of physical machines and equipment will further digitalize the economy. The Industrial Revolution transformed muscles into machines creating giant factories for production of goods on a big scale. The digital revolution is transforming humans and products into data and bringing intelligence to machines. The cocktail of data and artificial intelligence (AI) will enable the digital revolution to permeate every product and service.

The countries, companies and human beings who adopt and adapt to this transformation will prosper. Economies that advance beyond industrial-